writes that in April 2006, when he was at a social event, he vented his frustration on a well-known TV anchor about the markets misinterpreting his recent testimony to the Congress. He thought this conversation with the anchor was off the record, but she didn't think so and reported the remark which played up in the media as Bernanke 'reversing himself' and suggesting that interest rates could actually go up at a time when he actually wanted to convey the opposite message.

Lessons from the Communication Experience

Learning is an unending task and my education in communication continued all the way to the close of my tenure.

I learnt, for example, that being too direct or explicit is sometimes inadvisable. In the post-policy conference on 30 October 2011, I was asked whether the Reserve Bank would intervene in the forex market to build up forex reserves, and I gave an 'in the face' answer: 'No, we would not.' My answer should not have surprised anyone or caused anxiety since I was just stating the obvious: that the only condition, under the Reserve Bank's declared policy which would trigger forex intervention was exchange rate volatility. However, the rupee came under heavy pressure the next day and some analysts faulted me for being too explicit and suggested that no matter what the intent, I should not be such a 'straight bat'.

I had also learnt, indeed several times over, that nothing the governor says is off the record no matter when and in what context you are saying it. For example, in mid-January 2013, I was speaking at IIM Lucknow and explaining to the students how the tension between growth and inflation is overplayed and why low and steady inflation was a necessary condition for sustained growth. This was just a couple of weeks before our scheduled policy conference on 29 January and there was more than the usual media buzz about what we might do with the interest rate, especially since Chidambaram had openly criticized the Reserve Bank after our previous policy meeting in October for abandoning him to 'walk alone'.